

Perhaps the biggest clue that the bull market is ending is the fact that the brokerage industry has finally embraced the concept of coins as an investment. Their decision to act comes after two decades of dramatically rising coin values to the extent that, according to Salomon Brothers, rare U.S. coins over the past twenty years have produced the highest average annual return among all major investments, including the most prized art. How deeply have brokerage firms gone into coins? According to *Coin World*, on February 8 Merrill Lynch filed with the SEC for formation of a \$50 million publicly offered limited partnership in rare coins, with an option to push the ceiling to \$75 million. Merrill's first fund, offered in 1986, generated \$7.25 million. The second brought \$25 million and closed its offering over a year ago. In addition, Kidder Peabody's Futures Management Corp. expects to invest \$100 million in its rare coin fund in 1990, adding to the \$42 million it already has in it. Shearson Lehman Hutton is becoming involved in that market, and as *Coin World* put it, "the success with the Kidder fund has other Wall Street investment firms sitting up and taking notice."

This is the same type of deep commitment some brokerage firms made to "nifty fifty" fundamental stock analysis in late 1972-early 1973, to real estate in 1979 into the mid-1980s, and to junk bonds in 1985-1986. All this buying is in anticipation of wide public demand. In similar situations of the past, anticipated demand turned out to be a false hope. The casual assumption that demand would be *forthcoming* was simply based on years or decades of public demand *preceding* such decisions. Note that most of the brokerage firm buying came during the near vertical surge in prices in 1988-1989. That is when it became clear to coin investors that brokerage firms were committed to coins as an investment, and prices were adjusted accordingly. How many dollars and how many years of such investment were discounted by that surge? Needless to say, all the new coin market players stress the desirability of holding coins *long term*, just as stock mutual fund buyers are doing today after 15½ years of bull market.

Even an Elliott Wave analysis was included:

At this point, I would estimate that collector coins in general have between zero and eight months left in their major appreciation. Although I hesitate to place wave labels on this type of index, which often peaks when it is moving most vertically, it appears